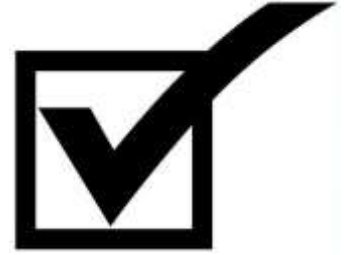




**BUSINESS
PROFESSIONALS**
of **AMERICA**
Giving Purpose to Potential



PAYROLL ACCOUNTING

(125)

STATE 2023

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each) _____ (30 points)

APPLICATION KNOWLEDGE:

Short Answer (21 @ 3 points each) _____ (63 points)

Job 1 – Payroll Register _____ (40 points)

Job 2 – Employee Earnings _____ (48 points)

TOTAL POINTS _____ **(181 points)**

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts if any.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214.

Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 60 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all percentages to two decimal places unless otherwise indicated.
- Assume all employees earn overtime for any hours worked over 40 hours in a week unless otherwise instructed.
- All calculations regarding time should be rounded to the nearest quarter hour.
- Use 6.2% for Social Security Tax on the first \$100,000 in wages.
- Use 1.45% for Medicare Tax for all wages.
- Use 5.4% for State Unemployment Tax and 0.8% (\$7,000 ceiling) for Federal Unemployment Tax.
- Assume no employee has accumulated earnings in excess of the social security tax, SUTA, or FUTA base unless otherwise indicated.

Multiple Choice

- | | | |
|------|-------|-------|
| 1. C | 6. C | 11. B |
| 2. C | 7. B | 12. A |
| 3. D | 8. A | 13. B |
| 4. A | 9. B | 14. C |
| 5. C | 10. D | 15. C |

Short Answer (63 Points – EACH ANSWER WORTH 3 POINTS)

1. Harley works at a shoe store and receive \$5.50 per each pair of shoes she sells. In a week's time, she sold 18 pair of shoes on regular time and 6 were made on overtime. Compute Harley's gross earnings for work on commission

Gross Earnings = \$ **148.50**

2. Harley's workplace has decided to add an incentive during the holidays. The incentive are as follows

Footwear Palace Shoe Pay Scale	
1 – 20 pairs of shoes	\$5.50 per pair of shoes
21 – 30 pairs of shoes	\$5.75 per pair of shoes
31 or more pairs of shoes	\$6.00 per pair of shoes

The week of the holiday, Harley was able to sell 37 pairs of shoes. What is her gross earnings based on the pay scale?

Gross Earnings \$**209.50**

3. Eddie is about to close on his first home as a real estate agent. The house is being sold for \$325,000 and he will make a commission of 6.5%. How much commission will Eddie make?

\$19,500

4. John earns an annual salary of \$63,588 for a 40-hour work week. Complete the following chart:

Monthly Pay	Biweekly Pay	Weekly Pay	Hourly Rate	Overtime Rate
\$5299.00	\$2445.69	\$1222.85	\$30.57	\$45.86

5. Convert the following pay into a regular hourly rate and an overtime rate for a 40-hr week.

	<u>Hourly Rate</u>	<u>Overtime Rate</u>
\$52,520 per year	<u>\$25.25</u>	<u>\$37.88</u>
\$2,848.00 bi-weekly	<u>\$35.60</u>	<u>\$53.40</u>
\$8,494.00 per quarter	<u>\$16.33</u>	<u>\$24.50</u>

6. Using the information provided, calculate the missing amounts.

- Amber is paid \$16.30 an hour and worked 38 hours during this week's pay period.
- She pays \$76.00 on a credit union loan each paycheck.
- She contributes \$10.00 to the PAT fund from each paycheck.
- She pays \$135 a month (4-week month) for health insurance.

Amber's Take-Home Pay:	
Gross Pay	\$619.40
Federal Income tax	\$ 72.29
State Income tax	\$ 38.52
Social Security tax	38.40
Medicare tax	8.98
Health Insurance	33.75
Credit Union	76.00
PAT fund	10.00
NET PAY	\$341.46

Job 1 – Payroll Register for Weekly Pay (40 Points – Each answer worth 1 point)

Complete the following register for the employees of Digital Solutions. All employees are paid weekly on a n hourly rate. Federal income tax is at a flat rate of 20%.

PAYROLL REGISTER

SEMIMONTHLY PERIOD ENDED January 28, 20--

						1	2	3	4	5	6	7	8
	Employee's Name	Marital Status	No. of Allow-ances	Pay Rate	Hours worked this week	Earnings			Deductions				Net Pay
						Regular	Overtime	Gross Earnings	Federal Income Tax	Social Security Tax	Medicare Tax	Deduction Totals	
¹	Adams, Layla	M	5	12.50	50	500.00	187.50	687.50	137.50	42.63	9.97	190.10	497.40
²	Johns, Kaylee	M	4	10.00	44	400.00	60.00	460.00	92.00	28.52	6.67	127.19	332.81
³	Hernandez, Brynlee	S	2	10.25	42	410.00	30.75	440.75	88.15	27.33	6.39	121.87	318.88
⁴	Day, Daniel	S	3	25.00	34	850.00		850.00	170.00	52.70	12.33	235.03	614.97
	Totals					\$2160.00	\$278.25	\$2438.25	\$487.65	\$151.18	\$35.36	\$674.19	\$1764.06

Job 2 – Piece-Rate (48 Points – Each answer worth 3 Points)

Lourdes works under a piece-rate work agreement, and she earns an extra half time the regular piece rate for any pieces over 500 per day or 250 per half day; Lourdes is paid weekly for the following pieces during a particular week. Calculate Lourdes' regular and overtime pay. She is paid 17.5 cents per piece and is calculated & rounded on a daily basis. She is not docked for producing under the 500 piece quota, she just gets the piece rate amount.

			Regular Rate Pieces	Overtime Rate Pieces
Monday	8 hours	460 pieces	\$94.30	
Tuesday	8 hours	535 pieces	102.50	\$10.78
Wednesday	8 hours	500 pieces	102.50	
Thursday	4 hours	275 pieces	51.25	7.70
Friday	8 hours	620 pieces	102.50	36.96
Saturday	4 hours	240 pieces	49.20	

Regular Earnings **\$502.25**

Overtime Piece Rate (Round to 3 decimal places) **\$30.8 or .308**

Overtime Earning **\$ 55.44**

Total Earnings **\$557.69**